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حيث ترسو الطموحات — MBA Case Study

Nubank: Scaling in Emerging Markets — 131 Million Customers at $0.80 to Serve Each

Key Facts

Company	Nubank (Nu Holdings)
Industry	Fintech / Digital Banking
Founded	2013 — David Vélez, Cristina Junqueira, Edward Wible
Headquarters	São Paulo, Brazil
Key Figures	131 million customers; cost to serve ~$0.80 per active customer per month — versus traditional banks' tens of dollars; one of Latin America's most valuable companies
Case Focus	Profitable scale in an emerging market — how digital infrastructure collapses the cost of financial inclusion
Teaching Objective	Analyze how asset-light digital banks build profitability in markets where traditional banking is expensive and inaccessible

Executive Summary

For most of Latin America's history, banking was a luxury. A handful of incumbents dominated, charging high fees, maintaining branches only in wealthy areas, and effectively excluding a huge share of the population from basic financial services. This exclusion was not just a social problem — it was an enormous, underserved market waiting for a different cost structure. Nubank was built to capture it.

Founded in 2013 in Brazil, Nubank's premise was radical in its simplicity: if you could serve a customer through a smartphone app instead of a branch network, the cost of banking would collapse. No branches, no legacy systems, no bloated workforce — just software. That structural advantage let Nubank offer a credit card with no annual fee and a digital account that cost customers nothing, while still generating healthy margins for itself. The result was explosive, organic growth driven largely by word of mouth.

Today Nubank serves 131 million customers at a cost to serve of roughly $0.80 per active customer per month — a figure that traditional banks, burdened by branches and legacy infrastructure, can only dream of. The company has expanded from a single credit card into a full digital bank, and from Brazil into Mexico and Colombia. This case examines how a radically lower cost structure creates both inclusion and profit, and whether that model can be replicated — and defended — across the emerging world.

Background and History

David Vélez, a former venture capitalist, arrived in Brazil and experienced firsthand the hostility of the banking system: to open a simple account, he faced long queues, bulletproof-glass teller windows, and onerous fees. He saw not just frustration but an opportunity. Brazil's banking market was dominated by a few incumbents with enormous margins and terrible service — the classic conditions for disruption.

Nubank launched in 2013 with a single product: a no-fee credit card controlled entirely through a mobile app. It was a bet that Brazilian consumers — even those new to credit — could be served profitably if the cost structure was low enough. The bet paid off. Word-of-mouth growth was so strong that Nubank famously stopped advertising, relying instead on customer referrals. By 2021, when it listed on the NYSE, it had become the largest digital bank in the world by number of customers.

The strategic challenge now is scaling without losing the cost discipline that made it work. As Nubank expands into lending, investments, and new countries, each new product and market adds complexity and risk — credit risk, regulatory risk, and operational risk. The question is whether the $0.80 cost-to-serve model can survive contact with a broader, riskier product mix.

Dimension	Traditional Bank	Nubank
Distribution	Branch network	Mobile app
Cost to serve	Tens of dollars/month	~$0.80/month
Customer acquisition	Branches, ads	Word of mouth
Barrier to entry	Physical + regulatory	Brand + data + scale

Discussion Questions

1. Cost Structure

- Where exactly does the $0.80 cost-to-serve come from, and why can't incumbents simply copy it?
- Why is "no annual fee" sustainable for Nubank when it was not for traditional issuers?

2. Financial Inclusion

- Is financial inclusion a cause or a consequence of Nubank's model? Can a business be both mission-driven and profit-maximizing?

- What are the risks of extending credit to previously unbanked populations?

3. Replication

- Can the Nubank model be replicated in other emerging markets — including the Gulf? What conditions are required?
- How does Nubank defend itself against incumbents and well-funded copycats as it expands?